1. Costs

1.1. Uses of cost information

- Helps calculate accurate profit and losses, calculate profitability, liquidity
- Helps make informed pricing decisions – marketing department
- Allows comparisons to be made, identify cost cutting techniques and implement required strategies
- Help set future budgets
- Managers can make decisions about resource allocation
- Help in decision making

1.2. Classification of costs

1. Direct costs – costs which can directly be identified with one unit of output. Ex. raw materials
2. Indirect costs – costs which can not be directly identified with one unit of output. Ex. rent
3. Fixed costs – costs which do not change with output in the short run. Ex. rent, insurance
4. Variable costs – costs which vary directly with the output. Ex. raw materials, wages
5. Marginal costs – cost of producing one extra unit of output

Problem in classifying cost:

- Labour costs generally vary with production and are considered as direct costs. When there is not enough work, businesses continue to pay their workers, making these wages fixed in the short term. As a result, wages become overhead costs because they cannot be allocated to any specific product or output.
- For example, TV presenters on fixed salaries are an example of indirect costs, as their pay does not change with the number of shows they appear in. Moreover, salaries for roles in administration, selling, and non-production are considered indirect costs because they are not linked to specific products or services and are usually fixed over the short term.
- Electricity costs in a factory can sometimes be allocated to specific products if accurate records are maintained. However, due to the practical challenges of tracking energy use for each product, these costs are often considered as indirect expenses.

1.3. Cost and Profit Centre

Cost Centres:

Cost centres are areas where costs are tracked separately.

For example:

- In a manufacturing business, cost centres might include different products, departments, factories, or specific stages in production, like assembly.
- In a hotel, cost centres could be the restaurant, reception, bar, room rentals, or conference services.
- In a school, different subject departments are considered cost centres.

Profit Centres:

Profit centres are parts of a business where both revenues and costs are allocated to together to measure profit.

For example:

- Each branch of a chain of shops can be a profit centre.
- Each department in a department store can be a profit centre.
- In a business that sells multiple products, each product can be a profit centre.

What are the benefits of cost and profit centres?

- Managers and employees have clear targets to aim for, which can boost motivation if the targets are set according to the criteria of SMART.
- Targets help compare actual performance, making it easier to see which part of the business is doing well and which is not.
- The performance of different divisions and their managers can be evaluated and compared.
- Work can be tracked, and decisions can be made about what to do next, such as whether to keep a profit centre open or raise the price of a product.

1.4. Overhead:

Indirect expenses in a business are usually divided into four main groups:

- Production Overheads: Costs related to making products, like factory rent, equipment depreciation, and energy use.
- Selling and Distribution Overheads: Costs for warehousing, packing, distribution, and salaries of sales staff.
- Administration Overheads: Costs for office rent and salaries of clerical/administrative and executive staff.
- Finance Overheads: Costs related to interest on loans.

Average cost:

Total cost divided by the number of units produced.

Average cost (AC) is calculated by:

$$AC = \frac{\text{Total Cost}}{\text{Number of Units Produced}}$$

1.5. Full Costing:

A method of costing in which all indirect and direct costs are allocated to the products, services or departments of the firm.

- Identify and add up all of the direct costs.

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- Calculate the total overheads of the business for a given time period.
- Add the total direct costs of making the product.
- Calculate the average cost of producing each product by dividing total costs by output.

Uses of full costing:

- Full costing is clear and straightforward for businesses with only one product.
- All costs are included, so nothing is left out in the total or unit cost.
- It helps set prices by calculating the full cost and adding a profit margin.
- You can compare costs over time if you use the same method for allocating overheads.

Benefits and Drawbacks of Full costing:

Advantages	Disadvantages
It is easy to calculate when only one product is involved.	When two or more products are involved, question arises about how the indirect expense will be divided.
It provides a complete overview of all costs associated with producing a product, including both direct and indirect costs. This ensure business understand its expenses extensively.	Full costing may not always match overhead costs to the right areas, leading to inaccuracies, such as allocating too much cost based on factory space alone.
Full costing helps in setting prices by covering all costs and ensuring that the business makes a profit.	Poor methods of assigning overheads can cause differences in cost reporting between departments and products.
It allows for a better analysis of profitability of the business by showing how much each product contributes to covering fixed costs and generating profit.	Using full costing for decisions can be risky because it might not reflect the true cost accurately.
	Overheads should be allocated the same way each year to ensure accurate comparisons over time.
	The cost per unit is only correct if the actual production matches the planned output; less output increases the cost per unit.

Additional points of full costing:

- A method of allocating indirect costs has to be selected and used.
- This method should not change over time, or cost comparisons over time will be difficult.
- Indirect costs can be allocated using several methods. Proportion of total direct costs was used above, but other methods include:
  - proportion of total factory space taken up by each product
  - proportion of total labour costs incurred.
  - proportion of the output of each product to total output.

1.6. Marginal Costing:

The additional cost of producing one more unit of output.

Benefits and Limitations of Marginal Costing:

Benefits	Limitations
It is appropriate for short-term decision-making, such as evaluating the impact of changes in production volume or pricing strategies.	It does not allocate fixed costs, which can lead to incomplete cost assessments.
Marginal costing highlights the impact of variable costs on profitability, making it easier to identify areas for cost reduction.	Marginal costing is suited for short-term decisions and may not provide a complete picture for long-term strategic planning.
It allows for quick adjustments in pricing and production strategies based on variable cost information due to flexibility.	It can be misleading if fixed costs are significant and need to be considered for accurate financial planning and performance evaluation.

1.7. Contribution Costing:

Contribution costing: costing method that allocates only direct costs to cost centres and profit centres, not overhead costs.

Benefit and Disadvantages of Contribution costing:

Benefits	Limitations
It helps to see how much each unit contributes to covering fixed costs and generating profit.	It does not consider fixed costs in its calculations, which can lead to incomplete financial assessments for long-term decisions.
Useful for making short-term decisions, such as deciding whether to continue with a product line or other related to product portfolio analysis.	This method provides less information for comprehensive cost management and financial reporting compared to full costing methods.
Focusing on variable costs, it makes it easier to manage and control these costs effectively.	It might show fluctuations in profit based on changes in sales level, which may not reflect the overall financial condition of the business.
It assists breakeven analysis and profit planning by highlighting how changes in sales level can affect profit.	

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Advantages of Cost Information:

- It helps managers make more well informed decisions by showing cost details and profits.
- Helps create appropriate and precise budgets and financial plans by out indicating the expected costs.
- Makes it easier to keep track of expenses and find ways to save money.
- It helps set the appropriate prices by understanding how much it costs to produce the good or service.
- It helps evaluate how well different departments or products are doing by comparing their costs and results.
- It assists in planning for the long term by showing how costs affect overall profitability.

Contribution Costing and Decisions on Stopping a Product:

- Contribution costing helps managers see which products contribute most to covering overheads and profit.
- If a product is making a positive contribution, stopping its production might actually lower overall profits. This is because, even though the product is not being made, the fixed overhead costs still need to be paid, and the contribution from that product helps cover these costs.
- Using full costing might lead to stopping a product that seems unprofitable, but contribution costing shows the real impact on overall profits by focusing on contributions rather than just costs.

Contribution Costing and Special Orders:

- If a business has spare capacity or wants to enter a new market, contribution costing helps decide if accepting a lower-priced special order is beneficial. For example, hotels might offer lower rates in off-peak seasons to attract more guests.
- Accepting a special order at a price below full cost can boost profits because fixed costs are already covered, and any extra contribution adds to the profit.

However, there are some potential Issues:

- Existing customers might want the lower prices offered to new customers.
- Selling all products at near marginal cost could lead to overall losses.
- Lower prices can harm a brand's exclusive image, making it visible as a cheap or low quality product.
- Selling at contribution cost might reduce sales of products priced at full cost.
- The lower-priced items might be resold at higher prices by customers.

Circumstances where Usage of Contribution Costing is appropriate:

- Useful for setting prices that cover direct production costs and contribute towards fixed costs.
- It helps in product decisions, whether to keep or close a product or profit centre based on its contribution, not just profit or loss.
- Effective for accepting special orders or contracts when there is extra capacity and the order makes a positive contribution.

Circumstances where usage of Contribution Costing is not viable:

- As it ignores the indirect costs, which can lead to overlooking higher costs for some products.
- However, it is not suitable for firms that only sell one product and need to cover all fixed costs.
- It doesn't consider all costs for business expansion or new product development.
- It might overlook important factors like brand image, which can be crucial in decision-making.

1.8. Break even analysis

- Break even point is where neither profit nor loss is made. Total revenue = total costs
- Below the break even point, a business makes losses and above the break even point the business makes profits.

How to construct a Break even chart:

- The fixed cost line is horizontal, indicating that fixed costs remain the same regardless of output level.
- Sales revenue starts at zero because there is no revenue without sales.
- The variable cost line starts at zero (0), showing that variable costs only occur with production. It's often not included in charts for simplicity.
- The total cost line starts at the fixed cost level and rises with variable costs added to it.

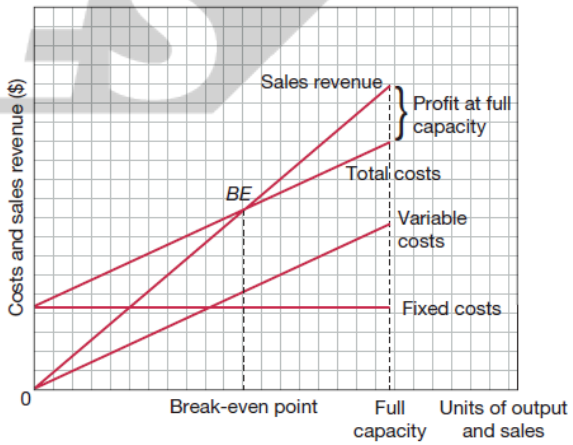

Figure 29.2 A typical break-even chart

Margin of safety

- The amount by which current sales level exceeds the break-even point

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- Indicates how much sales could fall without the firm going into losses

Break even equation

- Break-even level of output = fixed cost/contribution per unit
- Contribution per unit = selling price – variable cost per unit

Break even analysis – benefits

- Easy to construct and interpret
- Managers can redraw the graph to see effect of changes in costs and prices on profits and break-even points
- Helps in decision making
- Break-even analysis has equations which produces a precise break-even results.
- Gives information relating the margin of safety
- Helps in deciding which location to select.

Break even Analysis - limitations

- Costs and revenues are shown as straight lines, but in reality, costs like labour may increase with higher output.
- High output might need price cuts, which could create multiple break-even points.
- Semi-variable costs can complicate break-even analysis.
- Break-even charts assume all units produced are sold, which isn't always true.
- Fixed costs may change at different output levels, especially near maximum capacity.
- New businesses base break-even analysis on forecasts, which can be inaccurate.

Break even analysis – evaluation

- Assumption that costs and revenue is represented by straight lines is unrealistic
- Not all costs can be classified between fixed & variable
- No allowance for inventory levels
- Unlikely that fixed costs remain unchanged throughout

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